

TABLE 9.1 Comparing the approaches

	Annualised return (%)	Maximum drawdown (%)	Annualised volatility (%)	Sharpe ratio	Best month (%)	Worst month (%)	Percent profitable months
Trend following	16.9	-42.4	26.9	0.72	47.2	-18.9	53.8
Counter- trend	19.7	-43.0	25.5	0.83	24.0	-20.1	60.8
Curve trading	25.4	-39.2	30.4	0.90	66.7	-19.0	63.8

If we would now like to combine these strategies into a single portfolio, we would need to decide on what weight each of them should have. One way to approach this would be to decide that trend following is your main strategy, and should therefore have a larger weight. Another would be to down-weight the curve strategy as it trades less liquid contracts and is thereby less scalable. You could also decide to scale the weights dynamically based on realised volatility, holding more of the less volatile strategies. While all of these are valid choices, as long as you have good reasons for it, I'm sticking with the simplicity which underpins this book, and going with equal weights. Except, instead of having 1/3 weight in each, I'm going with 34% trend following, and 33% of the others, because a third would be irrational. I have done a monthly rebalancing of these weights, which makes sense for experimenting but in reality you would likely want to set threshold limits to trigger rebalancing.

In Figure 9.2, you see what your return curve would look like if you had traded these three strategy versions for the past 20 years, with a monthly rebalance between them. The combined strategy is shown as a thick, black line, and, as you can see, it did fairly well. This shouldn't be a surprise to anyone with a financial markets background, and what you see here is the power of diversification. The combined strategy is leading the race almost the whole time, showing higher returns at lower volatility and shallower drawdowns. Not only do we get a safer ride with lower volatility, but we get higher returns as well.

What's happening here is as close to magic as you'll get in finance. You could argue that any one of these strategies is perfectly fine, and that you